Auras Technology

2Q26 GM a miss; better 3Q26 growth outlook driven by higher GB300 contribution

Neutral

3324.TW, 3324 TT
Price (07 Aug 26):NT$1,015.00

▲**Price Target (Dec-26):NT$1,200.00**
Prior (Dec-26):NT$1,050.00

Auras reported its 2Q26 results with a GM miss. Looking into 2H26, we think the company's revenue will start picking up driven by increasing GB300 order shipments (delayed from June) in 3Q and initial AWS Trainium 3 liquid cooling product contribution along with some VR200 rack manifold demand in 4Q. Meanwhile, its GM should also get back onto a growth trajectory with enhanced revenue mix in 2H26. Longer-term, Auras will continue to benefit from the overall TAM increase in liquid cooling, especially driven by rising ASIC liquid cooling adoption and content growth; however, we maintain our Neutral rating as we believe the company's competitive edge and market share allocation will still lag tier-1 peers such as AVC.

- **2Q26 results missed on GM.** Reported EPS of NT$10.4 (-17% QoQ; +495% YoY) was 20% lower than our and consensus estimates, primarily owing to the larger-than-expected GM decline. GM of 28.4% (vs 29.7% in 1Q26) slightly missed both JPMe and BBGe of 29.9% and 29.3%, given limited growth in GB300 cold plate shipments during the transition period (liquid cooling revenue mix maintained at 55%, same level vs 1Q26) and impact from production scrap of new products (1-2% negative impact). Opex of 12.4% was higher than consensus of 11.3% owing to lower operating leverage with milder revenue growth (only 2% QoQ in 2Q26).
- **3Q and 4Q26 revenue and GM expected to resume growth momentum, thanks to more GB300 cold plate shipments and initial Trainium 3 contribution.** The company's reported July revenue of NT$3.8bn implies 39% MoM and 117% YoY growth, thanks to delayed GB300 cold plate orders from June (~NT$300mn incremental contribution from the delayed shipment). Looking into Aug and Sep, we believe the GB300 order momentum will remain solid, along with decent general server air cooling demand, so we revise up our 3Q26 revenue to NT$10.3bn, suggesting 18% QoQ and 73% YoY growth. For 4Q26, we model the company's revenue to be +1.5% QoQ (implying 37% YoY), as we think the initial AWS Trainium 3 liquid cooling orders (incl. cold plate modules, inner manifolds, rack manifolds, etc.) could offset the declining GB300 contribution. In terms of GM, we forecast it to recover and reach the 30% level from 3Q26 and continue to grow into 4Q26, due to better mix (liquid cooling revenue mix to increase to >60% from 3Q26).
- **Implications.** We revise up our 2026 and 2027 EPS estimates by 4% and 16%, respectively, to reflect stronger ASIC liquid cooling growth. However, both are still below BBGe consensus by 4% and 11%, as we model much lower market share in both Nvidia's VR200 and ASIC projects. Our Dec-26 PT is lifted to NT$1,200 (from NT$1,050), based on an unchanged 18x 2027E P/E, which is largely in line with the company's average P/E since 2023 (when AI servers started to drive cooling spec upgrades).

Technology

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (NT$)	52.20	54.36	4.1%
Adj. EPS - 27E (NT$)	58.05	67.15	15.7%

Quarterly Forecasts (FYE Dec)

Adj. EPS (NT$)

	2025A	2026E	2027E
Q1	5.66	12.61A	14.93
Q2	1.75	10.41A	15.91
Q3	10.66	15.48	17.68
Q4	10.21	15.85	18.64
FY	28.35	54.36	67.15

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	32	44	50	43	37
Growth	37	17	12	31	18
Momentum	70	23	59	15	97
Quality	26	34	24	23	9
Low Vol	72	85	95	90	75

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	0.5%	4.6%	-5.1%	44.2%
Rel	-52.2%	7.4%	-10.6%	-40.1%

Company Data

Shares O/S (mn)	91
52-week range (NT$)	1,305.00-641.00
Market cap ($ mn)	2,857
Exchange rate	32.30
Free float (%)	67.0%
3M ADV (mn)	3.03
3M ADV ($ mn)	97.1
Volatility (90 Day)	69
Index	TAIEX
BBG ANR (Buy | Hold | Sell)	14|6|0

Key Metrics (FYE Dec)

NT$ in millions	FY25A	FY26E	FY27E
Financial Estimates			
Revenue	23,276	37,976	43,703
Adj. EBIT	3,259	6,814	8,336
Adj. EBITDA	3,931	7,795	9,457
Adj. net income	2,572	5,049	6,250
Adj. EPS	28.35	54.36	67.15
BBG EPS	29.65	56.92	75.31
Cashflow from operations	(666)	3,258	5,611
FCFF	(3,356)	1,120	4,847
Margins and Growth			
Revenue Growth Y/Y (%)	47.5%	63.2%	15.1%
EBIT margin	14.0%	17.9%	19.1%
EBIT Growth Y/Y (%)	70.6%	109.1%	22.3%
EBITDA margin	16.9%	20.5%	21.6%
EBITDA Growth Y/Y (%)	62.4%	98.3%	21.3%
Net margin	11.1%	13.3%	14.3%
Adj. EPS growth	33.2%	91.7%	23.5%
Ratios			
Adj. tax rate	17.7%	19.5%	19.0%
Interest cover	115.5	85.4	150.7
Net debt/Equity	0.3	0.1	NM
Net debt/EBITDA	0.8	0.2	NM
ROE	24.8%	35.8%	33.3%
Valuation			
FCFF yield	(3.6%)	1.2%	5.1%
Dividend yield	1.0%	1.2%	2.3%
EV/Revenue	4.1	2.7	2.3
EV/EBITDA	24.4	13.3	10.7
Adj. P/E	35.8	18.7	15.1

Summary Investment Thesis and Valuation

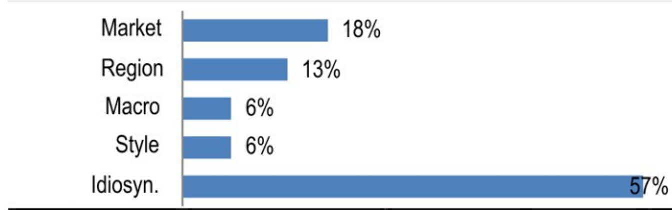
Investment Thesis

We are Neutral on Auras as we believe the company's future earnings growth potential will be capped by market share loss in Nvidia's next-gen VR cold plate from 2H26. We also believe that rising ASIC liquid cooling adoption, the main driver of the future cold plate TAM, will not be a meaningful catalyst for Auras given its relatively small share in the ASIC cold plate market.

Valuation

Our Dec-26 PT of NT$1,200 is based on 18x 2027E P/E, largely in line with its average P/E since 2023 (when AI servers started to drive cooling spec upgrades).

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.43	0.42
Region: Taiwan	0.45	0.39
Macro:		
Emerging Economies CPI(YoY)	-0.24	-0.19
Generic 1st 'CO' Future	0.24	0.19
JPM Forecast Revision EM	-0.25	-0.17
Quant Styles:		
Quality	0.12	0.19
LowVol	0.28	0.14
Value	0.10	0.08

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Earnings review and estimate revisions

Figure 1: 2Q26 earnings review

NT$mn

	2Q26					1Q26		2Q25	
	Actual	JPM est.	Diff. %	Consensus	Diff. %	Actual	QoQ %	Actual	YoY %
Revenues	8,700	8,875	-2%	8,815	-1%	8,552	2%	5,306	64%
Gross Profit	2,472	2,651	-7%	2,586	-4%	2,537	-3%	1,387	78%
GM	28.4%	29.9%	-145 bps	29.3%	-91 bps	29.7%	-124 bps	26.1%	229 bps
Operating Profit	1,390	1,613	-14%	1,588	-12%	1,520	-9%	634	119%
OPM	16.0%	18.2%	-219 bps	18.0%	-203 bps	17.8%	-179 bps	11.9%	404 bps
Pretax profit	1,317	1,590	-17%	1,609	-18%	1,570	-16%	211	525%
Net Income	969	1,207	-20%	1,232	-21%	1,164	-17%	158	513%
NM	*11.1%*	*13.6%*	-246 bps	*14.0%*	-284 bps	*13.6%*	-248 bps	*3.0%*	816 bps
EPS (NT$)	**10.4**	**13.1**	**-20%**	**13.3**	**-22%**	**12.6**	**-17%**	**1.8**	**495%**

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 2: J.P. Morgan estimates – New vs. old

	Revised				Prior				Change			
(NT$M)	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E
Sales	**10,285**	**10,440**	**37,976**	**43,703**	**8,926**	**8,947**	**35,299**	**37,875**	**15%**	**17%**	**8%**	**15%**
Gross profit	3,129	3,200	11,338	13,384	2,673	2,688	10,549	11,464	17%	19%	7%	17%
GM	30.4%	30.6%	29.9%	30.6%	29.9%	30.0%	29.9%	30.3%	47 bps	60 bps	-3 bps	36 bps
Operating profit	1,926	1,978	6,814	8,336	1,629	1,641	6,403	7,122	18%	21%	6%	17%
OPM	18.7%	18.9%	17.9%	19.1%	18.2%	18.3%	18.1%	18.8%	47 bps	60 bps	-20 bps	27 bps
Net Income	1,441	1,476	5,049	6,250	1,220	1,228	4,818	5,359	18%	20%	5%	17%
EPS (NT$)	**15.5**	**15.9**	**54.4**	**67.2**	**13.2**	**13.3**	**52.2**	**58.0**	**17%**	**19%**	**4%**	**16%**

Source: J.P. Morgan estimates.

Figure 3: J.P. Morgan estimates vs. Bloomberg consensus

	JPMe				Bloomberg				Diff			
(NT$M)	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E	3Q26E	4Q26E	2026E	2027E
Sales	**10,285**	**10,440**	**37,976**	**43,703**	**9,793**	**10,525**	**37,556**	**46,679**	**5%**	**-1%**	**1%**	**-6%**
Gross profit	3,129	3,200	11,338	13,384	2,930	3,197	11,226	14,272	7%	0%	1%	-6%
GM	30.4%	30.6%	29.9%	30.6%	29.9%	30.4%	29.9%	30.6%	51 bps	28 bps	-4 bps	5 bps
Operating profit	1,926	1,978	6,814	8,336	1,837	2,045	6,840	8,973	5%	-3%	0%	-7%
OPM	18.7%	18.9%	17.9%	19.1%	18.8%	19.4%	18.2%	19.2%	-4 bps	-48 bps	-27 bps	-15 bps
Net Income	1,441	1,476	5,049	6,250	1,445	1,587	5,314	7,019	0%	-7%	-5%	-11%
EPS (NT$)	**15.5**	**15.9**	**54.4**	**67.2**	**15.6**	**17.0**	**56.9**	**75.3**	**-1%**	**-7%**	**-4%**	**-11%**

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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Valuation

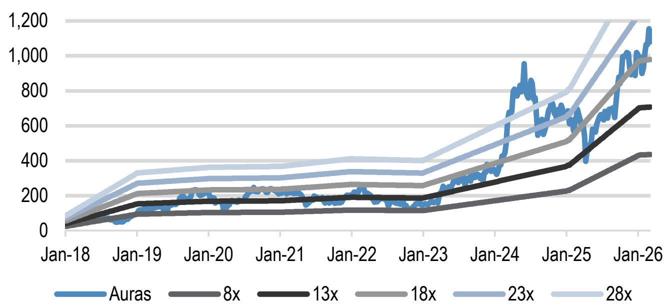
Table 1: Auras' historical trading multiple (Jan-18 to date)

x	12M trailing P/E	12M fwd P/E	12M trailing P/B	12M fwd P/B
Standard deviation	9.6	6.3	2.0	1.6
Max	55.3	39.4	10.9	8.7
Minimum	10.2	10.0	2.2	1.9
Median	27.3	17.5	5.9	4.8
Average	28.2	19.5	5.9	4.7

Source: Bloomberg Finance L.P.

Figure 4: Auras' 1yr fwd P/E

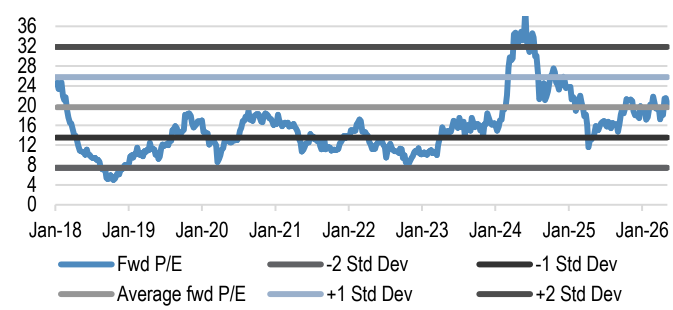
NT$



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 5: Auras' 1yr fwd P/E vs. mean

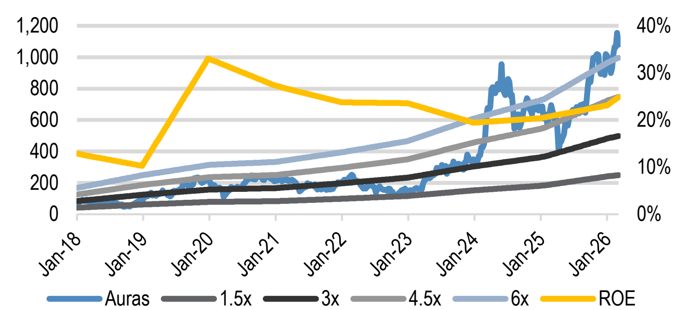
x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 6: Auras' 1yr fwd P/B

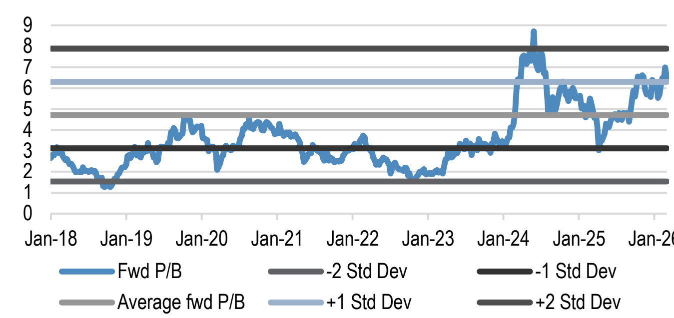
NT$



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

Figure 7: Auras' 1yr fwd P/B vs. mean

x



Source: Bloomberg Finance L.P., J.P. Morgan estimates.

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Table 2: Income statement

	2023				2024				2025				2026E				2027E								
(NT$ in Mn, year-end December)	**1Q**	**2Q**	**3Q**	**4Q**	**1Q**	**2Q**	**3Q**	**4Q**	**1Q**	**2Q**	**3Q**	**4Q**	**1Q**	**2Q**	**3QE**	**4QE**	**1QE**	**2QE**	**3QE**	**4QE**	**2023**	**2024**	**2025**	**2026E**	**2027E**
Revenue	**3,280**	**2,596**	**3,492**	**3,344**	**3,152**	**4,283**	**4,219**	**4,125**	**4,415**	**5,306**	**5,958**	**7,597**	**8,552**	**8,700**	**10,285**	**10,440**	**10,069**	**10,536**	**11,297**	**11,801**	**12,713**	**15,779**	**23,276**	**37,976**	**43,703**
Depreciation	115	111	108	105	106	112	122	132	142	147	159	176	208	225	238	248	255	260	265	270	439	471	624	919	1,050
COGS	2,548	2,061	2,565	2,534	2,380	3,067	3,108	3,197	3,207	3,920	4,184	5,594	6,015	6,228	7,156	7,240	6,990	7,318	7,830	8,181	9,708	11,753	16,904	26,639	30,319
Gross profit	**733**	**535**	**927**	**810**	**771**	**1,216**	**1,111**	**928**	**1,208**	**1,387**	**1,773**	**2,004**	**2,537**	**2,472**	**3,129**	**3,200**	**3,079**	**3,219**	**3,466**	**3,621**	**3,005**	**4,026**	**6,372**	**11,338**	**13,384**
Operating expense	367	387	449	426	442	529	568	576	645	753	781	934	1,017	1,082	1,203	1,221	1,218	1,243	1,277	1,310	1,629	2,115	3,113	4,524	5,048
Operating income	**366**	**149**	**478**	**384**	**329**	**687**	**543**	**352**	**563**	**634**	**992**	**1,069**	**1,520**	**1,390**	**1,926**	**1,978**	**1,861**	**1,975**	**2,190**	**2,311**	**1,376**	**1,911**	**3,259**	**6,814**	**8,336**
Net Interest Income	-8	3	-3	3	0	3	-1	7	-4	-1	-11	-19	-24	-24	-19	-25	-21	-15	-12	-15	-5	9	-34	-91	-63
Net Other Income	-5	148	124	-70	167	94	-28	214	107	-422	223	145	74	-49	0	0	0	0	0	0	197	446	53	25	0
Non-op gain (loss)	-13	151	121	-67	167	97	-29	221	103	-423	212	126	50	-73	-19	-25	-21	-15	-12	-15	191	455	19	-66	-63
Pre-tax profit	353	300	599	317	496	783	514	573	666	211	1,205	1,196	1,570	1,317	1,907	1,953	1,840	1,960	2,178	2,296	1,568	2,366	3,277	6,748	8,273
Tax expense (credit)	76	58	101	93	92	149	103	90	137	47	175	221	305	278	362	371	350	372	414	436	329	434	580	1,316	1,572
Net profit reported	**277**	**239**	**492**	**224**	**396**	**632**	**398**	**467**	**511**	**158**	**974**	**929**	**1,164**	**969**	**1,441**	**1,476**	**1,390**	**1,481**	**1,645**	**1,734**	**1,232**	**1,893**	**2,572**	**5,049**	**6,250**
EPS (NT$)	**3.2**	**2.8**	**5.7**	**2.6**	**4.5**	**7.1**	**4.4**	**5.2**	**5.7**	**1.8**	**10.7**	**10.2**	**12.6**	**10.4**	**15.5**	**15.9**	**14.9**	**15.9**	**17.7**	**18.6**	**14.3**	**21.3**	**28.4**	**54.4**	**67.2**
Margins (%)																									
Gross Margin	22.3	20.6	26.5	24.2	24.5	28.4	26.3	22.5	27.4	26.1	29.8	26.4	29.7	28.4	30.4	30.6	30.6	30.5	30.7	30.7	23.6	25.5	27.4	29.9	30.6
- Opex ratio	11.2	14.9	12.9	12.7	14.0	12.3	13.5	14.0	14.6	14.2	13.1	12.3	11.9	12.4	11.7	11.7	12.1	11.8	11.3	11.1	12.8	13.4	13.4	11.9	11.6
Operating Margin	11.1	5.7	13.7	11.5	10.4	16.0	12.9	8.5	12.8	11.9	16.7	14.1	17.8	16.0	18.7	18.9	18.5	18.7	19.4	19.6	10.8	12.1	14.0	17.9	19.1
EBITDA Margin	14.6	10.0	16.8	14.6	13.8	18.7	15.8	11.7	16.0	14.7	19.3	16.4	20.2	18.6	21.0	21.3	21.0	21.2	21.7	21.9	14.3	15.1	16.7	20.4	21.5
Net Margin	8.5	9.2	14.1	6.7	12.6	14.8	9.4	11.3	11.6	3.0	16.3	12.2	13.6	11.1	14.0	14.1	13.8	14.1	14.6	14.7	9.7	12.0	11.1	13.3	14.3
Sequential Growth (%)																									
Revenue	-4.3	-20.9	34.5	-4.2	-5.8	35.9	-1.5	-2.2	7.0	20.2	12.3	27.5	12.6	1.7	18.2	1.5	-3.5	4.6	7.2	4.5					
Gross Profit	2.2	-26.9	73.1	-12.6	-4.8	57.6	-8.6	-16.5	30.2	14.8	27.9	13.0	26.6	-2.5	26.6	2.3	-3.8	4.5	7.7	4.5					
EBIT	13.9	-59.3	221.4	-19.6	-14.3	108.6	-20.9	-35.3	60.3	12.5	56.6	7.7	42.1	-8.5	38.5	2.7	-5.9	6.2	10.8	5.5					
EPS	35.8	-13.7	105.5	-54.6	73.9	57.9	-37.8	18.2	8.1	-69.1	509.1	-4.3	23.5	-17.4	48.7	2.4	-5.8	6.6	11.1	5.4					
YoY Growth (%)																									
Revenue	-13.4	-21.5	4.7	-2.4	-3.9	65.0	20.8	23.3	40.1	23.9	41.2	84.2	93.7	64.0	72.6	37.4	17.7	21.1	9.8	13.0	-8.3	24.1	47.5	63.2	15.1
Gross Profit	14.0	-20.6	34.7	13.0	5.3	127.0	19.9	14.5	56.6	14.1	59.6	115.9	109.9	78.3	76.4	59.7	21.4	30.2	10.8	13.2	10.4	34.0	58.3	77.9	18.1
EBIT	24.7	-48.6	77.3	19.6	-9.9	361.8	13.6	-8.5	71.1	-7.7	82.7	204.2	169.7	119.4	94.0	85.0	22.4	42.1	13.7	16.8	17.3	38.8	70.6	109.1	22.3
EPS	-5.7	-33.1	20.6	9.4	40.0	156.1	-22.5	102.0	25.6	-75.4	140.8	94.9	122.6	494.5	45.1	55.3	18.4	52.8	14.2	17.5	-2.6	48.8	33.2	91.7	23.5
Sales mix (%)																									
NB	31%	39%	39%	37%	35%	26%	30%	30%	26%	24%	21%	14%	13%	13%	12%	11%	9%	10%	11%	10%	36%	30%	20%	12%	10%
DT	10%	11%	9%	8%	9%	8%	9%	10%	9%	8%	7%	5%	4%	4%	4%	3%	3%	3%	3%	3%	9%	9%	7%	4%	3%
VGA	33%	21%	23%	27%	24%	15%	14%	16%	17%	21%	11%	8%	6%	4%	4%	4%	4%	4%	4%	4%	26%	17%	13%	4%	4%
Server	23%	23%	25%	21%	25%	46%	42%	40%	44%	45%	60%	72%	76%	78%	80%	82%	84%	82%	81%	83%	23%	39%	57%	79%	82%
Smartphone	2%	4%	2%	5%	5%	4%	2%	1%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	3%	3%	0%	0%	0%
Others	1%	2%	2%	2%	2%	2%	3%	4%	4%	3%	2%	1%	1%	1%	1%	1%	1%	1%	1%	1%	2%	3%	2%	1%	1%

Source: Company data, J.P. Morgan estimates.

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Investment Thesis, Valuation and Risks

Auras Technology *(Neutral; Price Target: NT$1,200.00)*

Investment Thesis

We are Neutral on Auras as we believe the company's future earnings growth potential will be capped by market share loss in Nvidia's next-gen VR cold plate from 2H26. We also believe that rising ASIC liquid cooling adoption, the main driver of the future cold plate TAM, will not be a meaningful catalyst for Auras given its relatively small share in the ASIC cold plate market.

Valuation

Our Dec-26 PT of NT$1,200 is based on 18x 2027E P/E, largely in line with its average P/E since 2023 (when AI servers started to drive cooling spec upgrades).

Risks to Rating and Price Target

Key downside risks include: (1) a cooling-off of AI sentiment, which could impact valuation; (2) yield issues for new capacity/products; (3) delays in new product launches by customers; and (4) increasing competition as the thermal market expands.

Key upside risks include: (1) faster-than-expected MCL product enhancement and qualification of Auras; (2) increasing ASIC cold plate market share with new project wins; and (3) smaller MCP GM erosion for Nvidia's VR compute tray given less competition or better cost management.

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Auras Technology: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**15,779**	**23,276**	**37,976**	**43,703**	**-**
COGS	(11,753)	(16,904)	(26,639)	(30,319)	-
Gross profit	**4,026**	**6,372**	**11,338**	**13,384**	**-**
SG&A	(1,201)	(1,703)	(2,512)	(2,780)	-
Adj. EBITDA	**2,420**	**3,931**	**7,795**	**9,457**	**-**
D&A	(509)	(672)	(981)	(1,121)	-
Adj. EBIT	**1,911**	**3,259**	**6,814**	**8,336**	**-**
Net Interest	9	(34)	(91)	(63)	-
Adj. PBT	**2,366**	**3,277**	**6,748**	**8,273**	**-**
Tax	(434)	(580)	(1,316)	(1,572)	-
Minority Interest	-	-	-	-	-
Adj. Net Income	**1,893**	**2,572**	**5,049**	**6,250**	**-**
Reported EPS	21.29	28.35	54.36	67.15	-
Adj. EPS	**21.29**	**28.35**	**54.36**	**67.15**	**-**
DPS	**6.46**	**9.86**	**11.94**	**23.37**	**-**
Payout ratio	30.3%	34.8%	22.0%	34.8%	-
Shares outstanding	89	91	93	93	-

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	2,933	1,560	6,134	8,830	-
Accounts receivable	5,429	10,068	13,157	14,873	-
Inventories	2,810	6,057	7,141	8,069	-
Other current assets	508	901	1,195	1,323	-
Current assets	**11,680**	**18,587**	**27,627**	**33,094**	**-**
PP&E	4,083	6,150	7,370	7,084	-
LT investments	393	730	975	975	-
Other non current assets	770	657	684	682	-
Total assets	**16,926**	**26,125**	**36,656**	**41,836**	**-**
Short term borrowings	475	2,678	1,527	1,527	-
Payables	3,775	7,594	8,331	8,965	-
Other short term liabilities	1,651	2,251	3,270	3,719	-
Current liabilities	**5,902**	**12,523**	**13,128**	**14,210**	**-**
Long-term debt	1,675	2,021	6,519	6,519	-
Other long term liabilities	62	86	294	316	-
Total liabilities	**7,638**	**14,630**	**19,940**	**21,044**	**-**
Shareholders' equity	9,288	11,494	16,716	20,792	-
Minority interests	-	-	-	-	-
Total liabilities & equity	**16,926**	**26,125**	**36,656**	**41,836**	**-**
BVPS	**101.48**	**123.91**	**179.60**	**223.39**	**-**
y/y Growth	*30.7%*	*22.1%*	*44.9%*	*24.4%*	-
Net debt/(cash)	(783)	3,139	1,911	(785)	-

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**1,692**	**(666)**	**3,258**	**5,611**	**-**
o/w Depreciation & amortization	509	672	981	1,121	-
o/w Changes in working capital	(672)	(3,862)	(2,710)	(1,689)	-
Cash flow from investing activities	**(1,759)**	**(2,915)**	**(2,411)**	**(762)**	**-**
o/w Capital expenditure	(1,428)	(2,691)	(2,139)	(764)	-
as % of sales	*9.1%*	*11.6%*	*5.6%*	*1.7%*	-
Cash flow from financing activities	**1,551**	**2,207**	**3,726**	**(2,153)**	**-**
o/w Dividends paid	(571)	(903)	(1,108)	(2,175)	-
o/w Shares issued/(repurchased)	0	0	0	0	-
o/w Net debt issued/(repaid)	1,002	2,548	3,347	0	-
Net change in cash	**1,484**	**(1,373)**	**4,574**	**2,696**	**-**
Adj. Free cash flow to firm	**264**	**(3,356)**	**1,120**	**4,847**	**-**
y/y Growth	*(73.0%)*	*(1370.3%)*	*(133.4%)*	*332.8%*	-

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	25.5%	27.4%	29.9%	30.6%	-
EBITDA margin	15.3%	16.9%	20.5%	21.6%	-
EBIT margin	12.1%	14.0%	17.9%	19.1%	-
Net profit margin	12.0%	11.1%	13.3%	14.3%	-
ROE	23.4%	24.8%	35.8%	33.3%	-
ROA	12.8%	11.9%	16.1%	15.9%	-
ROCE	16.0%	19.4%	26.8%	25.2%	-
SG&A/Sales	7.6%	7.3%	6.6%	6.4%	-
Net debt/Equity	NM	0.3	0.1	NM	-
Net debt/EBITDA	NM	0.8	0.2	NM	-
Sales/Assets (x)	1.1	1.1	1.2	1.1	-
Assets/Equity (x)	1.8	2.1	2.2	2.1	2.0
Interest cover (x)	NM	115.5	85.4	150.7	-
Operating leverage	161.0%	148.5%	172.7%	148.2%	-
Tax rate	18.4%	17.7%	19.5%	19.0%	-
Revenue y/y Growth	24.1%	47.5%	63.2%	15.1%	-
EBITDA y/y Growth	31.1%	62.4%	98.3%	21.3%	-
EPS y/y Growth	48.8%	33.2%	91.7%	23.5%	-

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	47.7	35.8	18.7	15.1	-
P/BV (x)	10.0	8.2	5.7	4.5	-
EV/EBITDA (x)	24.9	24.4	13.3	10.7	-
Dividend Yield	0.6%	1.0%	1.2%	2.3%	-

Source: Company reports and J.P. Morgan estimates.
Note: NT$ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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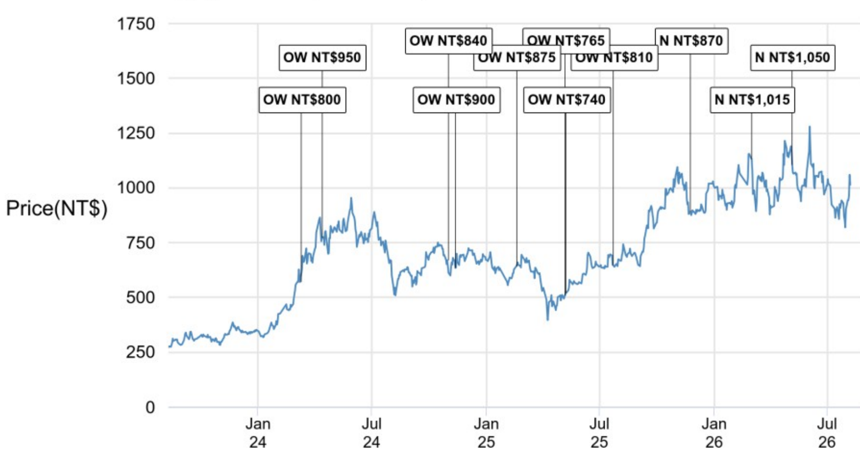
Auras Technology (3324.TW, 3324 TT) Price Chart



Date	Rating	Price (NT$)	Price Target (NT$)
11-Mar-24	OW	571.00	800
13-Apr-24	OW	772.00	950
01-Nov-24	OW	670.00	840
13-Nov-24	OW	635.00	900
19-Feb-25	OW	643.00	875
08-May-25	OW	510.00	765
09-May-25	OW	520.00	740
24-Jul-25	OW	648.00	810
25-Nov-25	N	892.00	870
03-Mar-26	N	1130.00	1,015
07-May-26	N	1105.00	1,050

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 11, 2024. All share prices are as of market close on the previous business day.

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